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The Wall Street Stampede: Exit as Governance with Interacting Blockholders

Contents

1	Big picture	3
2	Data and measurement	3
2.1	Why the FSI–Chapman example matters	3
2.2	Activist campaign data	3
2.3	Institutional holdings and mutual fund classification	4
2.4	Key variables	4
3	Model and empirical specifications	4
3.1	Managerial action and payoff	4
3.2	Informed blockholder	5
3.3	Second blockholder: value motivated versus flow motivated	5
3.4	Price impact and downward-sloping demand	5
3.5	Governance benchmarks	6
3.6	Empirical prediction 1: mutual funds sell more after activist exit	6
3.7	Empirical prediction 2: stronger selling after larger price impact	6
4	Identification and empirical design	6
4.1	What identifies the empirical result	6
4.2	Why exits at a loss matter	7
4.3	Why unsuccessful exits matter	7
4.4	Why price impact matters	7
4.5	Main limitations	7
5	Tables and figures	8
5.1	Table 1 and Table 2: theory predictions and activist-campaign sample	8
5.2	Table 3: institutional holdings and firm characteristics	9
5.3	Table 4 and Table 5: baseline DiD and exits at a loss	10
5.4	Table 6: unsuccessful exits	11
5.5	Table 7: price-impact interactions	12
6	Short summary	12
7	Conclusion	13
7.1	Core conclusion	13
7.2	Economic intuition	13

7.3	Implications for mutual funds	13
7.4	Implications for hedge fund activism	13
7.5	Implications for corporate managers	13
7.6	Implications for market liquidity	14
7.7	Policy and regulatory implications	14
7.8	Research agenda	14
7.9	Takeaway	14

1 Big picture

- **Question.** How does governance via exit work when a firm has multiple institutional blockholders with different incentives?
- **Classic exit governance.** An informed blockholder can discipline management by selling after observing bad managerial choices. The sale depresses the stock price, which managers internalize ex ante.
- **New mechanism.** The paper argues that mutual funds, because they are open-ended and face investor flow pressure, may follow the exit of an informed activist. This correlated selling can amplify the price penalty from bad managerial choices.
- **Key insight.** Flow pressure is often viewed as harmful because it induces short-termism or fire sales. In this paper, flow pressure can be governance-enhancing because flow-motivated blockholders want to avoid looking uninformed when an informed activist exits.
- **Theoretical setup.** A manager chooses a good or bad action. An informed blockholder observes the action and may exit. A second blockholder observes the first blockholder's action, has imperfect information, and is either value-motivated or flow-motivated.
- **Main theory result.** Value-motivated blockholders rely on their own signal and may not exit when information is poor. Flow-motivated blockholders may herd behind the informed blockholder and exit regardless of their own signal.
- **Governance implication.** Herding can be good when exit quantity matters for price impact. More selling after activist exit makes managerial bad actions more costly ex ante.
- **Empirical setting.** The paper studies activist hedge fund campaigns from 1994–2011 and merges activist exits with institutional holdings from 13F filings and mutual fund holdings from Morningstar.
- **Main empirical proxy.** Activist hedge funds are treated as informed blockholders; open-ended mutual funds are treated as flow-motivated blockholders; other institutions are less flow-motivated on average.
- **Main empirical result.** After activist exits, mutual funds reduce holdings more than non-mutual-fund institutions. The difference is stronger when the activist exits at a loss, when exits are not visibly successful, and when immediate price impact is large.
- **Economic takeaway.** The exit threat in modern corporations depends not only on who monitors, but also on how other investors react to a monitor's exit. Mutual funds can strengthen governance through coordinated exit rather than through direct voice.

2 Data and measurement

2.1 Why the FSI–Chapman example matters

The motivating example is Chapman Capital's activist campaign against FSI International. Chapman bought a large stake, pushed for managerial change and a sale, and eventually exited. Around the exit, some mutual fund blockholders also sold, while other institutions did not. This anecdote motivates the paper's central idea: when an informed activist exits, other blockholders' responses determine how large the price penalty becomes.

Interpretation: The anecdote is not just a story about one activist. It isolates the paper's key friction: institutions that are exposed to investor flows may prefer to sell after an activist sells, even if their own information is weaker.

2.2 Activist campaign data

- The activist sample uses campaign data based on Brav, Jiang, Partnoy, and Thomas and Brav, Jiang, and Kim.

- The broad campaign database covers 2,739 campaigns, 2,016 target firms, and 175 hedge fund families.
- The empirical analysis of post-exit holdings focuses on 399 unique firms whose activist campaigns terminated through open-market exit.
- The analysis keeps the first activist campaign for a given target so that campaigns and firms are mapped one-to-one.

Interpretation: Activist exits are useful because activists are plausibly informed. They spend resources acquiring stakes and engaging management, so their exit can reveal that the activist has concluded that the campaign is unlikely to create value.

2.3 Institutional holdings and mutual fund classification

- Institutional holdings come from Thomson Reuters 13F filings.
- Mutual funds are identified using the Morningstar Open End Mutual Funds database.
- The paper aggregates holdings at the fund-family level.
- Fund families that are primarily indexers are removed because they cannot easily govern through exit.
- The sample covers an unbalanced panel of 16,889 firm-quarter observations.

Interpretation: The distinction between mutual funds and non-mutual funds is central. Mutual funds are open-ended and are therefore exposed to redemptions. Other institutions, such as hedge funds, pension funds, endowments, banks, and insurers, are less exposed to immediate retail flows on average.

2.4 Key variables

The outcome is institutional ownership normalized by shares outstanding:

$$Y_{i,t} = \frac{\text{Holdings}_{i,t}}{\text{SharesOut}_{i,t}}. \quad (1)$$

The key treatment variables are:

- $\text{PostActivism}_{i,t}$: equals one after the activist campaign terminates through exit.
- $\text{MutualFund}_{i,t}$: equals one for mutual fund holdings and zero for non-mutual fund holdings.
- $\text{Ea}L_i$: equals one if the activist exits at a loss.
- $\text{Un}S_i$: captures exits that are not visibly successful before the exit date.
- $\text{PriceImpact}_{i,t_i,t_i+T}$: the stock-price reaction to the activist exit over T days after exit.

Interpretation: The main coefficient asks whether the post-activist-exit change in mutual fund holdings is smaller than the post-exit change in non-mutual-fund holdings.

3 Model and empirical specifications

3.1 Managerial action and payoff

The manager chooses between a good action and a bad action:

$$a_M \in \{\bar{v}, \underline{v}\}, \quad \Delta v \equiv \bar{v} - \underline{v} > 0.$$

The good action produces high cash flow $\bar{v}$. The bad action produces low cash flow $\underline{v}$ but gives the manager a private benefit β .

The manager's payoff is

$$U_M = \omega_1 P_1 + \omega_2 P_2 + \omega_3 v + \mathbf{1}\{a_M = \underline{v}\}\beta, \quad (2)$$

where P_1 and P_2 are interim prices and $v = a_M$ is final cash flow.

Interpretation: Managers care about stock prices before final cash flow is realized. This is what makes exit governance possible: if a bad action triggers exit and price decline, the manager bears a cost before the low cash flow is publicly observed.

3.2 Informed blockholder

The informed blockholder owns α_1 shares and observes the manager's action. It chooses retain r or exit e :

$$\pi_1 = \begin{cases} \alpha_1 v, & a_1 = r, \\ \alpha_1 P_1, & a_1 = e. \end{cases} \quad (3)$$

With probability δ_1 , the informed blockholder receives a liquidity shock and must exit.

Interpretation: Liquidity shocks are necessary because without noise, any exit would perfectly reveal bad management. With liquidity shocks, activist exit is informative but not perfectly informative.

3.3 Second blockholder: value motivated versus flow motivated

The second blockholder owns α_2 , observes the first blockholder's action a_1 , and receives an imperfect signal

$$s_2 \in \{\bar{v}, \underline{v}\}.$$

The signal precision depends on type $\tau \in \{g, b\}$:

$$\sigma_{2,\tau} = \Pr(s_2 = v^* \mid v = v^*, \tau), \quad 1 \geq \sigma_{2,g} > \sigma_{2,b} \geq \frac{1}{2}. \quad (4)$$

Average precision is

$$\sigma_2 = \gamma_2 \sigma_{2,g} + (1 - \gamma_2) \sigma_{2,b}. \quad (5)$$

- A **value-motivated** blockholder maximizes portfolio value.
- A **flow-motivated** blockholder also cares about how investors infer its ability, because bad inferred ability can generate outflows.

Interpretation: The second blockholder's type changes the role of its private signal. A value-motivated investor trades only if the expected trading profit justifies moving down the demand curve. A flow-motivated investor may trade to preserve reputation with investors.

3.4 Price impact and downward-sloping demand

The price reflects expected firm value minus a risk premium from risk-averse residual demand:

$$P_t = \underline{v} + \Delta v q_t - \lambda \alpha_t (\Delta v)^2 q_t (1 - q_t), \quad (6)$$

where q_t is the conditional probability of high cash flow and α_t is the amount sold into the market.

Interpretation: The quantity of exit matters. If more blockholders sell, the price drops more. That is why correlated selling can strengthen governance.

3.5 Governance benchmarks

Without exit governance, prices do not respond to managerial actions. The manager chooses the bad action when

$$\beta \geq \omega_3 \Delta v. \quad (7)$$

Under perfect governance, prices fully reveal the action, and the manager chooses the bad action only when

$$\beta \geq (\omega_1 + \omega_2 + \omega_3) \Delta v. \quad (8)$$

Interpretation: Better exit governance raises the private-benefit threshold needed to induce bad behavior. In other words, governance works by making bad action more costly to the manager.

3.6 Empirical prediction 1: mutual funds sell more after activist exit

The baseline difference-in-differences regression is

$$\frac{\text{Holdings}_{i,t}}{\text{SharesOut}_{i,t}} = \alpha + \beta_1 (\text{PostActivism}_{i,t} \times \text{MutualFund}_{i,t}) + \beta_2 \text{PostActivism}_{i,t} + \beta_3 \text{MutualFund}_{i,t} + \gamma_i + \delta_t + \epsilon_{i,t}. \quad (9)$$

Interpretation: The model predicts $\beta_1 < 0$: after the activist exits, mutual funds should reduce ownership more than other institutions.

3.7 Empirical prediction 2: stronger selling after larger price impact

To test whether the mutual fund response is stronger when activist exit is more informative, the paper estimates a triple-interaction specification:

$$\frac{\text{Holdings}_{i,j,t}}{\text{SharesOut}_{i,t}} = \alpha + \beta_1 (\text{PostActivism}_{i,t} \times \text{MutualFund}_{j,t} \times \text{PriceImpact}_{i,t_i,t_i+T}) \quad (10)$$

$$+ \beta_2 (\text{PostActivism}_{i,t} \times \text{MutualFund}_{j,t}) + \beta_3 (\text{PostActivism}_{i,t} \times \text{PriceImpact}_{i,t_i,t_i+T}) \quad (11)$$

$$+ \beta_4 (\text{MutualFund}_{j,t} \times \text{PriceImpact}_{i,t_i,t_i+T}) + \gamma_i + \delta_t + \epsilon_{i,j,t}. \quad (12)$$

Interpretation: The model predicts $\beta_1 < 0$: when the price reaction to activist exit is larger, mutual funds should sell even more relative to non-mutual funds.

4 Identification and empirical design

4.1 What identifies the empirical result

- The paper compares mutual fund holdings and non-mutual fund holdings in the same target firms around activist exits.
- Firm fixed effects absorb time-invariant target characteristics.
- Quarter fixed effects absorb aggregate market-wide trends in institutional ownership.

- Some specifications include firm-quarter controls such as leverage, market-to-book, and log assets.
- The key variation is whether mutual funds change holdings differently from other institutions after the activist exits.

Interpretation: This design is not a randomized experiment. Its strength is that it compares investor types around the same activist exit events.

4.2 Why exits at a loss matter

- An activist can exit because the campaign failed, but also because it succeeded and the activist is taking profits.
- Exits at a loss are less likely to be ordinary profit-taking.
- If mutual funds herd because activist exit reveals bad governance news, the effect should be stronger after loss exits.

Interpretation: The loss-exit split helps distinguish governance-relevant exits from mechanical portfolio exits or profit realization.

4.3 Why unsuccessful exits matter

- If a campaign visibly succeeds before exit, other investors may not interpret the activist's sale as bad news.
- If the exit occurs without visible success, the activist sale is more consistent with failure to persuade management.
- The model predicts stronger mutual fund selling in those cases.

Interpretation: This split maps the empirical sample more closely to the theoretical setting where the informed blockholder exits after learning that management will not choose the value-maximizing action.

4.4 Why price impact matters

- The theory's key latent variable is whether the activist's exit is informative rather than liquidity driven.
- The paper uses the immediate price reaction to the activist exit as a proxy for informativeness.
- A larger price decline suggests that the market infers bad news from the exit.

Interpretation: Price impact is useful because δ_1 , the liquidity-shock probability, is not directly observable. The market's reaction reveals how informative the exit appears to outside investors.

4.5 Main limitations

- The paper observes institutional holdings only quarterly, so the exact timing of trades within a quarter is not observed.
- Mutual funds are a proxy for flow-motivated blockholders; not every mutual fund has identical flow incentives.
- Non-mutual institutions are heterogeneous and can include some investors with short-term incentives.

- The empirical tests focus on trading reactions, not direct measurement of managerial effort or governance improvements.
- Activist exits are observable and salient, but not all informed blockholder exits are captured by activist campaign data.

Interpretation: The empirical analysis tests whether the behavioral foundation of the model appears in the data. It does not fully test every governance implication of the model.

5 Tables and figures

The paper has no standalone empirical figures. The notes below group adjacent tables to save space and make the empirical logic easier to compare. The images are directly cropped from the original paper.

5.1 Table 1 and Table 2: theory predictions and activist-campaign sample

Read: Table 1:

- The table summarizes Propositions 1–3.
- Flow-motivated blockholders can sell even when their private signal does not say the manager chose the bad action.
- Value-motivated blockholders sell only if they are sufficiently well informed and their signal indicates bad news; if they are poorly informed, they never sell.
- The strongest contrast appears when the informed blockholder’s exit is unlikely to be liquidity-driven.

Read: Table 2:

- Panel A shows 2,739 activist campaigns: 52.54% without a specific goal, 38.88% with a specific goal, and 8.58% unspecified or missing.
- Panel B shows that among goal-specific campaigns, 43.47% are classified as success, 20.47% as settle, 14.55% as fail, and 8.54% as withdraw.
- Panel C shows campaign terminations: 39.21% terminate by sale in the open market and 30.08% are still holding at data extraction.
- The paper’s main empirical sample focuses on open-market exits, because these best match the exit mechanism in the model.

Economic message: Table 1 maps theoretical incentives into observable trading behavior. Table 2 shows that activist exits are common enough to permit an empirical test, but also heterogeneous enough that the paper must separate governance-relevant exits from profit-taking or visibly successful campaigns.

Interpretation: The two tables together clarify why the empirical design is not simply “activists sell, everyone sells.” The theoretical comparison is between flow-motivated and value-motivated responses, and the empirical comparison is between mutual funds and other institutions.

Table 1
Summary from Propositions 1–3, on how FM (Top row) and VM (Bottom row) blockholders respond to the observed exit of the IB.

		Left	Right
		$\delta_1 < \bar{\delta}_1$	$\delta_1 > \bar{\delta}_1$
Top	FM	Always sell	Sell if and only if $s_2 = \bar{v}$
Bottom	VM	If $\sigma_2 > \bar{\sigma}$, sell if and only if $s_2 = \bar{v}$. If $\sigma_2 < \bar{\sigma}$, never sell.	If $\sigma_2 > \bar{\sigma}$, sell if and only if $s_2 = \bar{v}$. If $\sigma_2 < \bar{\sigma}$, never sell.

(a) Table 1: theory summary

Table 2
Summary statistics – activist campaigns.
This table shows the summary statistics for the hedge fund activist campaigns obtained from BJPT and BJK. The activist sample consists of 2739 distinct campaigns involving 2016 unique targets and 175 hedge fund families between 1994 and 2011. Panel A describes the percentage of campaigns that had a specific engagement goal. Panel B shows the respective frequencies of campaign outcomes in cases when the campaign was declared to have specific goals, and in Panel C we report relative frequencies of various exit mechanisms.

Panel A				
Campaign goals	#N	%		
Without a goal	1439	52.54%		
With a goal	1065	38.88%		
Unspecified/Missing	235	8.58%		
Total	2739	100.00%		
Panel B				
Campaign outcome	#N	%	Sale in the open market (exit)	% per outcome
Success	463	43.47%	112	31.11%
Fail	155	14.55%	58	16.11%
Settle	218	20.47%	72	20.00%
Ongoing	11	1.03%	1	0.28%
Withdraw	91	8.54%	66	18.33%
No sufficient information	118	11.08%	49	13.61%
Not applicable	2	0.19%	1	0.28%
Unspecified/Missing	7	0.66%	1	0.28%
Total	1065	100.00%	360	100.00%
Panel C				
Type of campaign termination	#N	%		
Still holding	824	30.08%		
Sale in the open market (exit)	1074	39.21%		
Sold to a third party	128	4.67%		
Target taken by a private HF	15	0.55%		
Merger with another company	220	8.03%		
Liquidated	31	1.13%		
Sell back to the target	38	1.39%		
Unspecified/Missing	409	14.93%		
Total	2739	100.00%		

date on which the campaign reaches a resolution (e.g. the strict attention to sales in the open market, i.e., exits, in

(b) Table 2: activist campaigns

5.2 Table 3: institutional holdings and firm characteristics

Read:

- The final panel contains 16,889 firm-quarter observations from 399 firms whose campaigns ended via exit.
- Average institutional ownership is 51.73% of shares outstanding.
- Mutual funds hold 17.71% of the average target firm; non-mutual funds hold 21.31%.
- Average total assets are about \$1.4 billion; average debt-to-assets is 0.22; average market-to-book is 1.97.
- Fidelity, Vanguard, and State Street are the largest mutual-fund managers in the sample; Barclays, Capital World, and Capital Research Global are among the largest non-mutual managers.
- Panel C classifies 28.55% of observations as exits at a loss and 92% as not visibly successful before exit under the paper’s broad definition.

Economic message: The sample contains firms with substantial institutional ownership and enough mutual fund and non-mutual fund ownership to compare differential exit behavior.

Interpretation: Mutual funds already hold meaningful stakes before activist exit. Therefore, when they sell, they can contribute to price pressure. The table also warns that the “unsuccessful” classification is broad: it does not mean all campaigns fail; it means the exit is not preceded by the paper’s visible-success conditions.

Table 3
Summary statistics – institutional holdings and firm characteristics.

In this table we show the summary characteristics for the final merged firm-quarter sample of all firms which were targets of activist campaigns that terminated with a sale in the open market, i.e., an exit. Panel A shows summary statistics on institutional ownership and firm characteristics. Panel B shows the top-3 mutual funds and top-3 non-mutual funds based on their average market value over 1994–2013, as well as, whether they are categorized as an index fund (1) or not (0). Panel C presents the frequencies of exits and sub-types of exits in the firm-quarter sample. Within the set of exits, Exit at a loss (*Exit*) is 1 when the activist sold at a loss, meaning that there was a price drop, measured on an end-of-month basis, between the activist's entry and exit dates, and 0 otherwise. Again, within the set of exits, Unsuccessful exit (*UnS*) is 0 if the outcome of the campaign was a success, a campaign had declared specific goals, and the outcome announcement date is before the exit date, and 1 otherwise.

Panel A						
	Mean	Median	Std. dev.	Min	Max	#N
Shares outstanding in MM	46.65	23.00	86.01	1.00	1103	16,889
Market Capitalization (MMS)	967.77	240.80	2,447.96	0.14	35,261	16,889
Institutional Shares (%) per Firm	51.73	53.47	28.98	0.00	100	16,889
Non-MF holdings (%) per Firm	21.31	21.12	14.32	0.00	71	16,889
MF holdings (%) per Firm	17.71	16.13	13.33	0.00	67	16,889
Total Assets	1,402.64	326.05	4,036.06	0.34	48,039	16,889
Total Debt/Total Assets	0.22	0.14	0.40	0.00	16	16,889
M/B	1.97	1.38	4.02	0.36	174	16,889
Operating income after depreciation	94.25	15.64	301.77	0.00	5456	16,889
Cash	78.76	20.32	199.90	0.00	3991	16,889

Panel B			
Mutual Funds			
Rank	Manager	Index fund	Avg market value (\$billion)
1	FIDELITY MANAGEMENT & RESEARCH	0	403
2	VANGUARD GROUP	1	331
3	STATE STR CORP	0	328

Non-Mutual Funds			
Rank	Manager	Index fund	Avg market value (\$billion)
1	BARCLAYS BANK PLC	0	316
2	CAPITAL WORLD INVESTORS	0	259
3	CAPITAL RESEARCH CBL INVESTORS	0	216

Panel C		
Exit at a loss		
<i>Exit</i> =	Frequency	Percent
1	4821	28.55%
0	12,068	71.45%
Total	16,889	100.00%

Unsuccessful exit		
<i>UnS</i> =	Frequency	Percent
1	15,538	92.00%
0	1351	8.00%
Total	16,889	100.00%

Table 3: institutional holdings and firm characteristics

5.3 Table 4 and Table 5: baseline DiD and exits at a loss

Read: Table 4:

- The coefficient on $\text{PostActivism} \times \text{MutualFund}$ is negative in all four specifications.
- In the ± 6 quarter window without controls, the coefficient is -0.907 and statistically significant.
- With firm-quarter controls, the ± 6 quarter coefficient is -0.937 and significant at the 1% level.
- The ± 4 quarter specifications are also negative, around -0.696 to -0.733.

Read: Table 5:

- For exits at a loss, the mutual fund differential is much larger: around -1.83 to -1.95 depending on window and controls.
- For exits not at a loss, the coefficients are much smaller, around -0.43 to -0.71, and generally not statistically significant.
- This split supports the idea that mutual funds sell more when activist exit is more likely to be bad news rather than profit-taking.

Economic message: The baseline effect is economically meaningful and becomes stronger in the subsample most consistent with failed activism. This is exactly where the model says flow-motivated herding should be strongest.

Interpretation: Table 4 establishes the average pattern. Table 5 makes the mechanism more credible by showing that the effect strengthens when the activist loses money. If activists were merely rebalancing or realizing gains, we would not expect mutual funds to react as strongly.

Table 4

DID of institutional holdings: all exits

This table shows results of estimating specification (1) and its extension with controls and event-windows as described in Section 6.2. The dependent variable is $Holdings_{i,t}/SharesOutstanding_{i,t}$, which measures the (amount of) holdings of stock i at time t , held by institutional investors, normalized by the total number of shares outstanding of firm i at time t . The main independent variable is $PostActivism_{i,t} \times MutualFund_{i,t}$, which measures the difference in holdings pre and post the activist's exit for mutual funds vs. non-mutual funds. Specifications in columns 1-4 differ in the length of the pre and post period we consider, and whether we include firm-quarter controls, as indicated. All specifications include firm and quarter fixed effects. Standard errors are adjusted for heteroskedasticity, and t-statistics are reported below the coefficients in parentheses. Coefficients marked with ***, **, and * are significant at the 1%, 5%, and 10% level, respectively.

	$Holdings_{i,t}/SharesOutstanding_{i,t}$			
	(1) ± 6 quarters N	(2) ± 4 quarters N	(3) ± 6 quarters Y	(4) ± 4 quarters Y
Window				
Firm × Quarter Controls				
$PostActivism_{i,t} \times MutualFund_{i,t}$	-0.907*** [-2.603]	-0.696* [-1.761]	-0.937*** [-2.745]	-0.733** [-1.879]
$PostActivism_{i,t}$	1.179*** [3.050]	0.721 [1.617]	0.752* [1.392]	0.752* [1.604]
$MutualFund_{i,t}$	-2.908*** [-11.893]	-3.002*** [-10.444]	-2.914*** [-12.191]	-2.999*** [-10.583]
$Leverage_{i,t}$			-1.045*** [-7.914]	-1.1938*** [-6.183]
$M/B_{i,t}$			0.795*** [7.898]	0.622*** [4.704]
$\log(TotalAssets)_{i,t}$			5.980*** [15.960]	5.539*** [11.750]
Firm fixed effects	Y	Y	Y	Y
Quarter fixed effects	Y	Y	Y	Y
Observations	8854	6335	8854	6335
R-squared	0.642	0.673	0.656	0.682

6.2. Empirical methodology and results

while column 2 restricts attention to ±4 quarters; and

(a) Table 4: all exits

Table 5

DID of institutional holdings: exits at a loss vs. not

This table shows results of estimating specification (1) conditioning further in the subsample of firm/campaigns i for which $EAL_i = 1$ in columns 1-4 and the subsample $EAL_i = 0$ in columns 5-8. The dependent variable is $Holdings_{i,t}/SharesOutstanding_{i,t}$, which measures the (amount of) holdings of stock i at time t , held by institutional investors, normalized by the total number of shares outstanding of firm i at time t . The main independent variable is $PostActivism_{i,t} \times MutualFund_{i,t}$, which measures the difference in holdings pre and post the activist's exit for mutual funds vs. non-mutual funds. Specifications in columns 1-8 differ in the exits we condition on, the length of the pre and post period we consider, and whether we include firm-quarter controls, as indicated. EAL_i is 1 when the activist sold at a loss, meaning that there was a price drop, measured on an end-of-month basis, between the activist's entry and exit dates, and 0 otherwise. All specifications include firm and quarter fixed effects. Standard errors are adjusted for heteroskedasticity, and t-statistics are reported below the coefficients in parentheses. Coefficients marked with ***, **, and * are significant at the 1%, 5%, and 10% level, respectively.

	$Holdings_{i,t}/SharesOutstanding_{i,t}$							
	(1) $EAL_i = 1$ ± 6 quarters N	(2) $EAL_i = 1$ ± 4 quarters N	(3) $EAL_i = 1$ ± 6 quarters Y	(4) $EAL_i = 1$ ± 4 quarters Y	(5) $EAL_i = 0$ ± 6 quarters N	(6) $EAL_i = 0$ ± 4 quarters N	(7) $EAL_i = 0$ ± 6 quarters Y	(8) $EAL_i = 0$ ± 4 quarters Y
Sample								
Window								
Firm × Quarter Controls								
$PostActivism_{i,t} \times MutualFund_{i,t}$	-1.929** [-2.419]	-1.833** [-2.003]	-1.953** [-2.479]	-1.853** [-2.039]	-0.674 [-1.011]	-0.432 [-0.719]	-0.705 [-1.061]	-0.474 [-0.790]
$PostActivism_{i,t}$	0.914 [0.952]	0.197 [0.174]	1.090 [1.152]	0.359 [0.322]	1.194** [2.405]	0.750 [1.544]	1.310*** [2.632]	0.766 [1.551]
$MutualFund_{i,t}$	-3.127*** [-5.745]	-3.313*** [-5.047]	-3.126*** [-5.801]	-3.309*** [-5.068]	-2.859*** [-4.395]	-2.937*** [-4.397]	-2.868*** [-4.410]	-2.937*** [-4.392]
$Leverage_{i,t}$			-20.570*** [-5.227]	-20.443*** [-5.227]			-11.205*** [-4.373]	-11.016*** [-4.305]
$M/B_{i,t}$			1.565*** [4.291]	1.033** [2.176]			0.703*** [4.755]	0.598*** [3.492]
$\log(TotalAssets)_{i,t}$			6.370*** [5.178]	4.981*** [3.202]			5.974*** [8.121]	5.647*** [6.710]
Firm fixed effects	Y	Y	Y	Y	Y	Y	Y	Y
Quarter fixed effects	Y	Y	Y	Y	Y	Y	Y	Y
Observations	1695	1206	1695	1206	7159	5129	7159	5129
R-squared	0.650	0.671	0.659	0.676	0.643	0.676	0.658	0.686

(b) Table 5: loss versus non-loss exits

5.4 Table 6: unsuccessful exits

Read:

- Columns 1–4 focus on exits classified as not visibly successful before the exit date.
- In these columns, $PostActivism \times MutualFund$ is negative and statistically significant, with coefficients between -0.728 and -0.970.
- Columns 5–8 focus on exits not classified as unsuccessful; the coefficients are smaller and statistically insignificant.
- The sample sizes differ sharply because the successful-exit benchmark is restrictive.

Economic message: Mutual funds sell more relative to non-mutual institutions when the activist exits before visible success, consistent with the view that such exits reveal negative information about governance prospects.

Interpretation: Table 6 is especially important because it addresses the concern that activist exits may happen after success. If the activist has already achieved its objective, selling is not a governance-relevant bad signal. The weaker coefficients in the successful-exit columns align with that logic.

DID of institutional holdings: "unsuccessful" exits vs. not.

This table shows results of estimating specification (1) conditioning further in the subsample of firm/campaigns i for which $UnS_i = 1$ in columns 1-4 and the subsample $UnS_i = 0$ in columns 5-8. The dependent variable is $Holdings_{i,t}/SharesOutstanding_{i,t}$, which measures the (amount of) holdings of stock i at time t , held by institutional investors, normalized by the total number of shares outstanding of firm i at time t . $UnS_i = 0$ if the outcome of the campaign was a success, a campaign had declared specific goals, and date of outcome announcement = date of exit, otherwise $UnS_i = 1$. The main independent variable is $PostActivism_{i,t} \times MutualFund_{i,t}$, which measures the difference in holdings pre and post the activist's exit for mutual funds vs. non-mutual funds. Specifications in columns 1-8 differ in the exits we condition on, the length of the pre and post period we consider, and whether we include firm-quarter controls, as indicated. Recall that UnS_i is 0 if the outcome of the campaign was a success, a campaign had declared specific goals, and the outcome announcement date is before the exit date, and 1 otherwise. All specifications include firm and quarter fixed effects. Standard errors are adjusted for heteroskedasticity, and t-statistics are reported below the coefficients in parentheses. Coefficients marked with ***, **, and * are significant at the 1%, 5%, and 10% level, respectively.

	$Holdings_{i,t}/SharesOutstanding_{i,t}$							
	(1) $UnS_i = 1$ ± 6 quarters N	(2) $UnS_i = 1$ ± 4 quarters N	(3) $UnS_i = 1$ ± 6 quarters Y	(4) $UnS_i = 1$ ± 4 quarters Y	(5) $UnS_i = 0$ ± 6 quarters N	(6) $UnS_i = 0$ ± 4 quarters N	(7) $UnS_i = 0$ ± 6 quarters Y	(8) $UnS_i = 0$ ± 4 quarters Y
Sample								
Window								
Firm × Quarter Controls								
$PostActivism_{i,t} \times MutualFund_{i,t}$	-0.940*** [-2.629]	-0.728* [-1.801]	-0.970*** [-2.770]	-0.767* [-1.926]	-0.640 [-0.450]	-0.254 [-0.148]	-0.652 [-0.462]	-0.233 [-0.136]
$PostActivism_{i,t}$	1.134*** [2.856]	0.712 [1.560]	1.241*** [3.154]	0.722 [1.590]	2.046 [1.210]	0.325 [0.148]	2.137 [1.275]	0.600 [0.271]
$MutualFund_{i,t}$	-2.622*** [-10.570]	-2.729*** [-9.390]	-2.630*** [-10.855]	-2.726*** [-9.525]	-6.099*** [-5.585]	-6.188*** [-4.584]	-6.096*** [-5.620]	-6.213*** [-4.594]
$Leverage_{i,t}$			-11.754*** [-7.744]	-12.468*** [-6.185]			-10.810 [-1.646]	-2.769 [-0.356]
$M/B_{i,t}$			0.805*** [7.706]	0.618*** [4.626]			0.365 [0.352]	0.468 [0.400]
$\log(TotalAssets)_{i,t}$			5.809*** [15.452]	5.404*** [11.236]			5.000*** [2.330]	5.577*** [1.664]
Firm fixed effects	Y	Y	Y	Y	Y	Y	Y	Y
Quarter fixed effects	Y	Y	Y	Y	Y	Y	Y	Y
Observations	8141	5826	8141	5826	713	509	713	509
R-squared	0.649	0.582	0.663	0.691	0.605	0.604	0.609	0.606

Table 6: unsuccessful versus other exits

5.5 Table 7: price-impact interactions

Read:

- Table 7 tests EP2 by interacting post-exit mutual fund status with immediate price impact.
- Panel A uses $T = 1$ day; Panel B uses $T = 3$ days.
- The triple interaction $\text{PostActivism} \times \text{MutualFund} \times \text{PriceImpact}$ is negative and statistically significant in every specification.
- In Panel A, the triple-interaction coefficients range from -0.216 to -0.261.
- In Panel B, the coefficients range from -0.223 to -0.255.
- The result is robust to the event window and to firm-quarter controls.

Economic message: Mutual funds sell more aggressively when the market itself reacts more negatively to the activist exit. This supports the interpretation that mutual funds are responding to the informativeness of the activist's sale.

Interpretation: This table links the empirical findings most directly to the theory. The model's latent object is whether activist exit is likely to reflect information rather than liquidity. The price-impact interaction uses the market's own reaction as a proxy for that informativeness, and the sign of the interaction is exactly what the model predicts.

Table 7
DID of institutional holdings: all exits.
This table shows results of estimating specification (2) with controls and event-windows as described in Section 6.2. The dependent variable is $\text{Holdings}_{i,t}/\text{SharesOutstanding}_{i,t}$, which measures the (amount of) holdings of stock i at time t , held by institutional investors, normalized by the total number of shares outstanding of firm i at time t . The main independent variable is $\text{PostActivism}_{i,t} \times \text{MutualFund}_{i,t} \times \text{PriceImpact}_{i,t,T}$, which measures the effect of the price reaction to the exit of the activist blockholder comparing across both pre vs. post the event quarter and mutual vs. non-mutual funds. Specifications in columns 1-4 differ in the length of the pre and post period we consider, and whether we include firm-quarter controls, as indicated. $\text{PriceImpact}_{i,t,T}$ captures the magnitude of the price reaction to the exit of the activist as measured by the net return between the termination date t_i and T days afterwards. Panel A considers $T = 1$ and Panel B considers $T = 3$. All specifications include firm and quarter fixed effects. Standard errors are adjusted for heteroskedasticity, and t -statistics are reported below the coefficients in parentheses. Coefficients marked with ***, **, and * are significant at the 1%, 5%, and 10% level, respectively.

	(1)	(2)	(3)	(4)
	± 6 quarters	± 4 quarters	± 6 quarters	± 4 quarters
	N	N	Y	Y
Window				
Firm $\times$ Quarter Controls				
$\text{PostActivism}_{i,t} \times \text{MutualFund}_{i,t} \times \text{PriceImpact}_{i,t,1}$	-0.216** [-2.446]	-0.250*** [-2.635]	-0.224*** [-2.591]	-0.261*** [-2.763]
$\text{PostActivism}_{i,t} \times \text{PriceImpact}_{i,t,1}$	0.041 [0.606]	0.067 [0.921]	0.094 [1.404]	0.101 [1.406]
$\text{MutualFund}_{i,t} \times \text{PriceImpact}_{i,t,1}$	0.070 [1.103]	0.100 [1.479]	0.069 [1.121]	0.102 [1.511]
$\text{PostActivism}_{i,t} \times \text{MutualFund}_{i,t}$	-1.228*** [-3.183]	-0.893** [-2.054]	-1.253*** [-3.317]	-0.926** [-2.161]
$\text{MutualFund}_{i,t}$	1.398*** [3.271]	0.879* [1.797]	1.569*** [3.721]	0.944* [1.944]
$\text{PostActivism}_{i,t}$	-2.872*** [-10.613]	-3.037*** [-10.516]	-2.872*** [-10.479]	-3.032*** [-10.454]
$\text{Leverage}_{i,t}$			-10.694*** [-5.793]	-9.990*** [-4.073]
$M/B_{i,t}$			0.890*** [7.412]	0.656*** [4.467]
$\log(\text{TotalAssets})_{i,t}$			6.150*** [14.449]	5.630*** [10.578]
Firm fixed effects	Y	Y	Y	Y
Quarter fixed effects	Y	Y	Y	Y

(a) Panel A: $T = 1$

	(1)	(2)	(3)	(4)
	± 6 quarters	± 4 quarters	± 6 quarters	± 4 quarters
	N	N	Y	Y
Window				
Firm $\times$ Quarter Controls				
$\text{PostActivism}_{i,t} \times \text{MutualFund}_{i,t} \times \text{PriceImpact}_{i,t,3}$	-0.255*** [-4.301]	-0.223*** [-3.504]	-0.253*** [-4.336]	-0.224*** [-3.500]
$\text{PostActivism}_{i,t} \times \text{PriceImpact}_{i,t,3}$	0.141*** [2.941]	0.127** [2.437]	0.159*** [3.278]	0.144*** [2.742]
$\text{MutualFund}_{i,t} \times \text{PriceImpact}_{i,t,3}$	0.282*** [6.631]	0.272*** [5.658]	0.281*** [6.712]	0.272*** [6.652]
$\text{PostActivism}_{i,t} \times \text{MutualFund}_{i,t}$	-1.320*** [-3.454]	-0.944** [-2.187]	-1.340*** [-3.579]	-0.971** [-2.281]
$\text{MutualFund}_{i,t}$	1.473*** [3.460]	0.933* [1.915]	1.633*** [3.887]	0.996** [2.056]
$\text{PostActivism}_{i,t}$	-2.689*** [-10.022]	-2.886*** [-9.124]	-2.694*** [-10.266]	-2.882*** [-9.245]
$\text{Leverage}_{i,t}$			-10.716*** [-5.798]	-10.065*** [-4.120]
$M/B_{i,t}$			0.903*** [7.703]	0.670*** [4.658]
$\log(\text{TotalAssets})_{i,t}$			6.150*** [14.545]	5.633*** [10.706]
Firm fixed effects	Y	Y	Y	Y
Quarter fixed effects	Y	Y	Y	Y
Observations	7246	5196	7246	5196
R-squared	0.649	0.683	0.662	0.691

(b) Panel B: $T = 3$

6 Short summary

- The paper studies governance via exit when firms have multiple institutional blockholders.
- The core theoretical novelty is interaction: one blockholder's exit can trigger another blockholder's exit.
- Mutual funds are modeled as flow-motivated because they are open-ended and exposed to investor redemptions.
- A flow-motivated blockholder may exit after an informed activist exits, even if its own signal is not negative.
- This herding reduces information aggregation, but it can improve governance if selling quantity has price impact.
- The paper predicts that mutual funds should sell more than other institutions following activist exits.

- The data combine activist hedge fund campaigns, 13F institutional holdings, Morningstar mutual fund data, and firm characteristics.
- The main sample contains 399 target firms whose activist campaigns terminate via open-market exit.
- Mutual funds reduce holdings more than non-mutual institutions after activist exits.
- The effect is stronger when the activist exits at a loss and when the campaign is not visibly successful before exit.
- The effect is also stronger when the immediate price reaction to exit is larger.
- The evidence supports the paper’s behavioral foundation: mutual funds react more strongly to informed blockholder exit.
- The governance implication is that mutual funds can contribute to governance through exit, not only through voice or proxy voting.

7 Conclusion

7.1 Core conclusion

Cvijanović, Dasgupta, and Zachariadis show that governance via exit is fundamentally different in a world with multiple blockholders. A single informed activist may create the information event, but the price penalty that disciplines managers depends on whether other investors join the exit. Flow-motivated mutual funds can strengthen governance by amplifying informed activist exit.

7.2 Economic intuition

The economic intuition is a reputation and flow channel. A mutual fund that does not sell after an informed activist sells risks looking uninformed if the activist’s exit later turns out to reveal bad news. To avoid being seen as a poor monitor, the mutual fund may sell as well. This additional selling increases price impact, and the larger expected price penalty improves managerial incentives before the bad action is chosen.

7.3 Implications for mutual funds

The paper gives mutual funds a more positive governance role than in many short-termism stories. Open-ended structure and flow pressure can be harmful in asset pricing when it causes fire sales, but here the same pressure can reinforce discipline. Mutual funds may not need to lead governance campaigns to matter. They can matter by reacting to informed activists and making exit threats more credible.

7.4 Implications for hedge fund activism

The theory suggests that activists should care about the ownership structure of target firms. If target firms have many flow-motivated mutual funds, an activist’s exit threat may be stronger because these funds are likely to follow. If target firms are dominated by value-motivated investors who are poorly informed, exit support may be weaker. Thus, activism is not only about the activist’s stake; it also depends on the ecosystem of other blockholders.

7.5 Implications for corporate managers

Managers facing multiple blockholders may anticipate that an activist exit will not be isolated. If mutual funds and other flow-sensitive investors can amplify the price decline, managers have stronger ex ante incentives to

avoid actions that informed blockholders would interpret as value destroying. This expands the reach of exit governance beyond the largest activist shareholder.

7.6 Implications for market liquidity

The model highlights a subtle role for market illiquidity. If the residual demand curve is perfectly elastic, extra uninformed selling has no price effect and correlated exit does not strengthen governance. If demand slopes downward, selling quantity matters. Therefore, exit governance depends on microstructure, investor base, and liquidity conditions, not just on information.

7.7 Policy and regulatory implications

The paper cautions against treating flow sensitivity as uniformly harmful. Regulations that change mutual fund liquidity, redemption rules, or fund-flow incentives could influence corporate governance indirectly. Policies that reduce the ability or willingness of mutual funds to exit may weaken this particular discipline channel, even if they reduce other forms of instability.

7.8 Research agenda

The paper opens several empirical questions. Future work could test whether firms with more flow-motivated blockholders make better managerial decisions ex ante, whether activists select targets partly based on mutual fund ownership, and whether correlated exit has stronger governance effects in less liquid stocks. A firm-level test of managerial behavior would be the natural next step beyond the paper's trading-response evidence.

7.9 Takeaway

The broad takeaway is that modern institutional ownership creates governance through interaction. A mutual fund may appear passive when viewed alone, but in a multi-blockholder equilibrium it can discipline management by joining the exit of an informed activist. Exit as governance is therefore not just a bilateral relation between one monitor and one manager; it is a collective mechanism shaped by the incentives of the entire institutional ownership network.